

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

HOUSE BILL 3372

By: Hall

AS INTRODUCED

An Act relating to charter schools; amending 62 O.S. 2021, Section 203, which relates to the apportionment of monies to the General Revenue Fund; providing exception to requirement for investment monies to return to the General Revenue Fund; amending 70 O.S. 2021, Section 3-142, as last amended by Section 2, Chapter 294, O.S.L. 2025 (70 O.S. Supp. 2025, Section 3-142), which relates to charter school funding; removing reference to prohibition on issuing bonds; clarifying repayment obligations for the state in certain circumstances; stating legislative findings; creating the Revolving Loan Fund Program for Charter School Capital Expenditures; describing Revolving Loan Fund Program management; providing Revolving Loan Fund Program purpose; allowing the Statewide Charter School Board to set interest rates on loans to charter schools; stating loan recipients; restricting loan usage for specific purposes; providing loan eligibility; creating the Charter School Loan Revolving Fund; providing fund purposes and limitations; allowing appropriations; providing procedure for approval and payment of funds; allowing the promulgation of rules; creating the Charter School Bond Credit Enhancement Program; prescribing program eligibility; outlining program approval process; requiring minimum deposit into a debt reserve account to participate in the fund; providing permitted reserve account uses; requiring certain payment directive; creating the Charter School Bond Credit Enhancement Fund; providing fund purposes and limitations; allowing appropriations; requiring interest earned to be returned to the fund; mandating participants pay a one-time fee; making appropriation; outlining procedures for default; providing procedure for repayment of certain monies;

1       clarifying certain bonds are special obligations  
2       payable from charter school funds or state  
3       appropriations; providing program monetary cap;  
4       providing for codification; and providing an  
5       effective date.

6  
7 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

8       SECTION 1.       AMENDATORY       62 O.S. 2021, Section 203, is  
9       amended to read as follows:

10       Section 203. A. Except as otherwise provided by subsection B  
11       of this section, all monies that may come into the State Treasury,  
12       pursuant to the provisions of Section 201 et seq. of this title,  
13       together with all amounts that may be received by the State  
14       Treasurer as investment income or as interest on average daily bank  
15       balances, including investment income or interest on deposits from  
16       funds deposited to the credit of the Constitutional Reserve Fund  
17       created pursuant to Section 23 of Article X of the Oklahoma  
18       Constitution, shall be apportioned and credited to the General  
19       Revenue Fund for the current year.

20       B. The provisions of subsection A of this section shall not  
21       apply to:

22       1. Interest received on deposits from funds under the control  
23       of the Commissioners of the Land Office;  
24

1        2.    Funds in the Department of Human Services Federal  
2 Disallowance Fund;  
3        3.    Interest received on deposits from funds under the control  
4 of the Santa Claus Commission;  
5        4.    The Risk Management Revolving Fund;  
6        5.    Investment income and interest received from funds in the  
7 Quartz Mountain Revolving Fund from insurance claims;  
8        6.    The Drinking Water Treatment Revolving Loan Account and the  
9 Drinking Water Treatment Loan Administrative Fund;  
10       7.    The Clean Water State Revolving Fund Loan Account and the  
11 Clean Water State Revolving Fund Loan Administrative Fund;  
12       8.    The State Infrastructure Bank Revolving Fund;  
13       9.    The Nursing Facility Quality of Care Fund;  
14       10.   The Oklahoma Tourism and Recreation Department Revolving  
15 Fund effective July 1, 2003;  
16       11.   The Golf Course Operations Revolving Fund effective July 1,  
17 2003; ~~and~~  
18       12.   Interest received on investments from funds in the County  
19 Bridge and Road Improvement Fund, the Emergency and Transportation  
20 Revolving Fund, the County Road Machinery and Equipment Revolving  
21 Fund, the High Priority State Bridge Revolving Fund as created in  
22 Section 506 of Title 69 of the Oklahoma Statutes, and the County  
23 Improvements for Roads and Bridges Fund as created in Section 507 of  
24 Title 69 of the Oklahoma Statutes; and

1        13. Interest earned on investments pursuant to paragraph 1 of  
2        subsection F of Section 5 of this act.

3        SECTION 2.        AMENDATORY        70 O.S. 2021, Section 3-142, as  
4        last amended by Section 2, Chapter 294, O.S.L. 2025 (70 O.S. Supp.  
5        2025, Section 3-142), is amended to read as follows:

6        Section 3-142. A. The student membership and attendance of a  
7        charter school shall be considered separate from the student  
8        membership and attendance of the sponsor for the purpose of  
9        calculating enrollment and funding including weighted average daily  
10       membership pursuant to Section 18-201.1 of this title and State Aid  
11       pursuant to Section 18-200.1 of this title. A charter school shall  
12       receive the State Aid allocation, federal funds to which it is  
13       eligible and qualifies for, and any other state-appropriated revenue  
14       generated by its students for the applicable year. Not more than  
15       three percent (3%) of the State Aid allocation may be charged by the  
16       sponsor as a fee for administrative services rendered if the sponsor  
17       is a school district, a comprehensive or regional institution of  
18       higher education, a two-year college, a private institution of  
19       higher learning accredited pursuant to Section 4103 of this title,  
20       or a federally recognized Indian tribe pursuant to Section 3-132 of  
21       this title. The Statewide Charter School Board shall not charge any  
22       charter school or virtual charter school a fee for administrative or  
23       other services. The State Department of Education shall determine  
24       the policy and procedure for making payments to a charter school or

1 virtual charter school. The fee for administrative services as  
2 authorized in this subsection shall only be assessed on the State  
3 Aid allocation amount and shall not be assessed on any other  
4 appropriated amounts. A sponsor of a charter school shall not  
5 charge any additional State Aid allocation or charge the charter  
6 school any additional fee above the amounts allowed by this  
7 subsection unless the additional fees are for additional services  
8 rendered. The charter school sponsor shall provide to the State  
9 Department of Education financial records documenting any state  
10 funds charged by the sponsor for administrative services rendered  
11 for the previous year.

12 B. The fee for administrative services authorized by subsection  
13 A of this section shall be used by the sponsor to provide oversight  
14 and services to the charter schools it sponsors. The State  
15 Department of Education shall develop data codes for the Oklahoma  
16 Cost Accounting System which shall be used to comply with the  
17 administrative services reporting required by this section. A  
18 charter school sponsor shall publish a detailed report on its  
19 website and present the report in a public meeting of the charter  
20 school governing board and the charter school sponsor governing  
21 board. The report shall provide sponsor performance and stewardship  
22 including compliance with all applicable laws, regulations, and  
23 terms of the charter contract and listing expenses related to  
24

oversight and services provided by the sponsor to the charter schools it sponsors.

C. For the purpose of calculating weighted average daily membership pursuant to Section 18-201.1 of this title and State Aid pursuant to Section 18-200.1 of this title, the weighted average daily membership for the first year of operation of a new charter school site or grade level or full-time statewide virtual charter school shall be determined initially by multiplying the actual enrollment of students as of August 1 by 1.333. The charter school or virtual charter school shall receive revenue equal to that which would be generated by the estimated weighted average daily membership calculated pursuant to this subsection. At midyear, the allocation for the charter school or virtual charter school shall be adjusted using the first quarter weighted average daily membership for the charter school or virtual charter school calculated pursuant to subsection A of this section. For each subsequent school year, weighted average daily membership shall be calculated as provided for in Section 18-201.1 of this title, and State Aid shall be calculated as provided for in Section 18-200.1 of this title.

D. Except as explicitly authorized by state law, a charter school or virtual charter school shall not be eligible to receive state-dedicated, local, or county revenue; provided, a charter school or virtual charter school may be eligible to receive any other aid, grants, or revenues allowed to other schools. A charter

1 school or virtual charter school shall be considered a local  
2 education agency for purposes of funding.

3 E. Any unexpended funds received by a charter school or virtual  
4 charter school may be reserved and used for future purposes. The  
5 governing board of a charter school or virtual charter school shall  
6 not levy taxes ~~or issue bonds~~. If otherwise allowed by law, the  
7 governing board of a charter school or virtual charter school may  
8 enter into private contracts for the purposes of borrowing money  
9 from lenders. If the governing board of the charter school or  
10 virtual charter school borrows money, the charter school or virtual  
11 charter school shall be solely responsible for repaying the debt,  
12 and the state or the sponsor shall not in any way be responsible or  
13 obligated to repay the debt, except as provided in Section 4 and  
14 Section 5 of this act.

15 F. Any charter school or virtual charter school which chooses  
16 to lease property shall be eligible to receive current government  
17 lease rates.

18 G. Except as otherwise provided in this subsection, each  
19 charter school shall pay to the Charter Schools Incentive and  
20 Closure Reimbursement Fund created in Section 3-144 of this title an  
21 amount equal to Five Dollars (\$5.00) per student based on average  
22 daily membership, as defined by paragraph 2 of Section 18-107 of  
23 this title, during the first nine (9) weeks of the school year.  
24 Each charter school shall complete the payment every school year

1 within thirty (30) days after the first nine (9) weeks of the school  
2 year. If the Charter Schools Incentive and Closure Reimbursement  
3 Fund has a balance of One Million Dollars (\$1,000,000.00) or more on  
4 July 1, no payment shall be required the following school year.

5 H. Upon the effective date of this act, the Statewide Charter  
6 School Board shall transfer all funds remaining in the balance of  
7 the Charter School Closure Reimbursement Revolving Fund to the  
8 Charter Schools Incentive and Closure Reimbursement Fund created  
9 pursuant to Section 3-144 of this title.

10 SECTION 3. NEW LAW A new section of law to be codified  
11 in the Oklahoma Statutes as Section 3-142.1 of Title 70, unless  
12 there is created a duplication in numbering, reads as follows:

13 The Legislature finds that public charter schools should be  
14 eligible for dedicated or competitive funding made available though  
15 the State of Oklahoma to support public school capital expenditures.

16 SECTION 4. NEW LAW A new section of law to be codified  
17 in the Oklahoma Statutes as Section 3-142.2 of Title 70, unless  
18 there is created a duplication in numbering, reads as follows:

19 A. There is hereby established the Revolving Loan Fund Program  
20 for Charter School Capital Expenditures, subject to appropriations  
21 by the Legislature.

22 B. The Revolving Loan Fund Program for Charter School Capital  
23 Expenditures shall be managed by the Statewide Charter School Board.  
24 The Statewide Charter School Board may administer the program, or



1 may contract with a third-party administrator to administer the  
2 program.

3 C. The Revolving Loan Fund Program for Charter School Capital  
4 Expenditures shall provide loans and loan guarantees that allow  
5 charter schools to access funding at lower interest rates.

6 D. The Statewide Charter School Board shall determine what  
7 interest rates and terms apply to loans and loan guarantees granted  
8 under this section.

9 1. If the Statewide Charter School Board administers the  
10 program directly, the Board shall, in determining the rates and  
11 terms of a loan granted to a charter school, make every effort to  
12 provide low-interest options and flexible terms.

13 2. If the Statewide Charter School Board contracts with a  
14 third-party administrator to administer the program, the Board shall  
15 consider in its selection:

16 a. the administrators ability to provide low-interest  
17 options and flexible terms, and

18 b. the administrator's ability to dedicate additional  
19 funds to the program.

20 E. Eligible recipients of loans or loan guarantees through this  
21 program include:

22 1. Nonprofit charter school organizations;

23 2. Nonprofit charter school management organizations;

1        3. Affiliated entities designed to own property for charter  
2 schools;

3        4. A nonprofit corporation that develops and finances a  
4 facility that will be occupied by a public charter school throughout  
5 the term of the loan; and

6        5. One or more third-party, nonprofit charter school loan fund  
7 designed to leverage the total loan amounts to eligible recipients.

8        F. Funds distributed pursuant to this section shall be for  
9 purchase, construction, renovation, and maintenance of charter  
10 school capital projects including:

11        1. Purchase of land and related costs;

12        2. Construction of a new facility and related costs;

13        3. Purchase of an existing property and related costs;

14        4. Renovation of a property and related costs; and

15        5. Capital improvements of an existing property and related  
16 costs.

17        G. To be eligible to benefit from a loan or loan guaranty under  
18 this section, a charter school shall operate pursuant to Section 3-  
19 137 of Title 70 of the Oklahoma Statutes, and be in good standing  
20 with the Statewide Charter School Board.

21        H. There is hereby created in the State Treasury a revolving  
22 fund for the Statewide Charter School Board to be designated the  
23 "Charter School Loan Revolving Fund". The fund shall be a  
24 continuing fund, not subject to fiscal year limitations, and shall

1 consist of all monies received by the Statewide Charter School Board  
2 from state appropriations. All monies accruing to the credit of  
3 said fund are hereby appropriated and may be budgeted and expended  
4 by the Statewide Charter School Board for the purpose of  
5 administering the Revolving Loan Fund Program for Charter School  
6 Capital Expenditures. Expenditures from said fund shall be made  
7 upon warrants issued by the State Treasurer against claims filed as  
8 prescribed by law with the Director of the Office of Management and  
9 Enterprise Services for approval and payment.

10 I. The Statewide Charter School Board may promulgate rules to  
11 implement this section.

12 SECTION 5. NEW LAW A new section of law to be codified  
13 in the Oklahoma Statutes as Section 3-142.4 of Title 70, unless  
14 there is created a duplication in numbering, reads as follows:

15 A. There is hereby established a Charter School Bond Credit  
16 Enhancement Program to assist qualifying charter schools in  
17 obtaining favorable financing on bonds for facility expenditures.

18 B. 1. A public charter school is eligible to participate in  
19 the program if the school receives approval from the Statewide  
20 Charter School Board pursuant to requirements for issuance of  
21 nonprofit facility bonds and to the satisfaction of the criteria set  
22 forth by the Statewide Charter School Board. To qualify, a public  
23 charter school shall submit documentation to the Oklahoma Finance  
24

1 Authority determining that the charter school is a creditworthy  
2 investment.

3 2. The Statewide Charter School Board shall determine the  
4 definition of a creditworthy investment.

5 C. 1. Upon receipt of documentation satisfying the criteria set  
6 forth in subsection B of this section, the Oklahoma Finance  
7 Authority shall notify the public charter school and the State  
8 Treasurer that the school has been approved to participate in the  
9 charter school bond credit enhancement program if:

10 a. the public charter school complies with the  
11 requirements set forth in subsection B of this  
12 section, and

13 b. the public charter school's participation would not  
14 cause a violation of the limitations set forth in  
15 subsection H of this section.

16 2. Additional requirements and security interests may be  
17 imposed by agreement of the school and bondholder or trustee.

18 D. 1. A school participating in the Charter School Bond Credit  
19 Enhancement Program shall agree to have deposited a minimum of  
20 twelve (12) months' payment on principal and interest in a  
21 restricted debt service reserve account established and held by the  
22 bondholder or trustee.

23 2. Except as provided in paragraph 3 of this subsection, money  
24 in a participating public charter school's restricted debt service

1 reserve account shall not be withdrawn if the amount withdrawn would  
2 reduce the level of money in the account to less than twelve (12)  
3 months' payment on principal and interest.

4 3. As long as applicable bonds issued under the facilities  
5 program remain outstanding, money in a restricted debt service  
6 reserve account may be withdrawn in an amount that would reduce the  
7 level to less than twelve (12) months' payment on principal and  
8 interest, if the money is withdrawn for the purpose of:

- 9 a. paying the principal, redemption price, or interest on  
10 a bond when due if the state payments intercepted  
11 pursuant to subsection E of this section, funded  
12 grants, and other revenues pledged by the  
13 participating public charter school for payment of the  
14 bond, are insufficient to make the payment, or  
15 b. paying any redemption premium required to be paid when  
16 the bonds are redeemed prior to maturity, if no bonds  
17 will remain outstanding.

18 E. As a requirement to participate in the Charter School Bond  
19 Credit Enhancement Program, a participating public charter school  
20 shall provide a directive to the Statewide Charter School Board that  
21 all payments to the school pursuant to state law shall be paid  
22 directly to the bond trustee to set aside funds in accordance with  
23 the bond indenture. All remaining funds shall be forwarded to the  
24

1 public charter school. The payment directive required in this  
2 subsection shall not be revoked or amended.

3 F. 1. There is hereby established in the State Treasury the  
4 Charter School Bond Credit Enhancement Fund, which shall consist of  
5 monies made available through appropriations, fees, grants, gifts,  
6 or any other source to fulfill the purposes of this section. Monies  
7 in the fund are hereby continuously appropriated for the purposes of  
8 this section and shall only be expended for the purposes stated  
9 herein. Any interest earned on the investment of idle money in the  
10 Charter School Bond Credit Enhancement Fund shall be returned to the  
11 Charter School Bond Credit Enhancement Fund. Schools participating  
12 in the Charter School Bond Credit Enhancement Program shall pay a  
13 one-time fee in an amount equal to one-half percent (0.5%) of par at  
14 the time of issuance and an annual fee in an amount equal to  
15 seventy-five thousandths percent (0.075%) on the outstanding  
16 balance, which shall be deposited in the Charter School Bond Credit  
17 Enhancement Fund.

18 2. There is hereby appropriated to the Statewide Charter School  
19 Board Revolving Fund from any monies not otherwise appropriated from  
20 the General Revenue Fund of the State Treasury for the fiscal year  
21 ending June 30, 2027, the sum of One Million Dollars (\$1,000,000.00)  
22 or so much thereof as may be necessary to perform the duties imposed  
23 upon the Statewide Charter School Board by law for the Charter  
24 School Bond Credit Enhancement Program.

1       G. 1. If a public charter school participating in the Charter  
2 School Bond Credit Enhancement Program has defaulted on its  
3 obligation to pay, a draw on its restricted debt service reserve  
4 account shall be made, and the following shall occur:

5           a. the bond trustee shall exercise its remedies under the  
6 bond indenture and loan agreement,

7           b. within ten (10) days following the withdrawal from the  
8 restricted debt service account, the bondholder or  
9 trustee shall notify the issuing Oklahoma Finance  
10 Authority, the State Treasurer, and the State  
11 Comptroller of the shortfall in the school's  
12 restricted debt service reserve account,

13          c. within fifteen (15) days of the notice provided  
14 pursuant to subparagraph b of paragraph 1 of this  
15 subsection, the State Comptroller shall transfer, from  
16 the Charter School Bond Credit Enhancement Fund, to  
17 the school's restricted debt service reserve account,  
18 an amount equal to one (1) month's interest on the  
19 bonds based on the interest payments for which the  
20 draw on the restricted debt service reserve account  
21 occurred. Monies transferred to the school's  
22 restricted debt service reserve account pursuant to  
23 this paragraph shall be continuously appropriated for  
24 such purposes, and

d. by December 1 of each year, the State Treasurer shall submit to the Governor a letter certifying the amount, if any, required to restore amounts on deposit in the restricted debt service reserve accounts of participating public charter schools and the Charter School Bond Credit Enhancement Fund. The Governor shall send to the Legislature a statement of the expenditure of monies from the Charter School Bond Credit Enhancement Fund and report the amount needed to restore funds in the restricted debt service reserve accounts to the amount required in paragraph 2 of subsection D of this section. The Legislature may appropriate money to restore amounts on deposit in the restricted debt service reserve account of a defaulting public charter school to the amounts required in paragraph 2 of subsection D of this section or to redeem all outstanding bonds issued for a defaulting public charter school, the source of which may be the Charter School Bond Credit Enhancement Fund or any other available funds. The Legislature may also appropriate money to restore amounts withdrawn from the Charter School Bond Credit Enhancement Fund.



1        2. If money has been withdrawn from the Charter School Bond  
2 Credit Enhancement Fund pursuant to paragraph 1 of this subsection,  
3 the school shall repay the fund from the school's allocation of  
4 facilities funds, at a time agreed to by the Statewide Charter  
5 School Board over a period of years until the amount so withdrawn  
6 has been repaid to the Charter School Bond Credit Enhancement Fund,  
7 as long as the repayment does not cause an event of default on a  
8 facility lease or loan.

9        H. 1. Bonds issued for the benefit of public charter schools  
10 using the Charter School Bond Credit Enhancement Fund shall not be  
11 indebtedness of the state, but are special obligations payable  
12 solely from:

- 13            a. revenues or other funds pledged by the qualifying  
14                public charter school, and
- 15            b. amounts appropriated by the Legislature pursuant to  
16                subsection G of this section.

17        2. Bonds issued under the public charter school facilities  
18 program shall not be subordinate to any other obligations used to  
19 finance the same project.

20        3. The aggregate outstanding principal amount of bonds issued  
21 under the public charter school facilities program shall not exceed  
22 Two Hundred Fifty Thousand Dollars (\$250,000.00).  
23  
24

SECTION 6. This act shall become effective November 1, 2026.

60-2-14550 SW 01/13/26